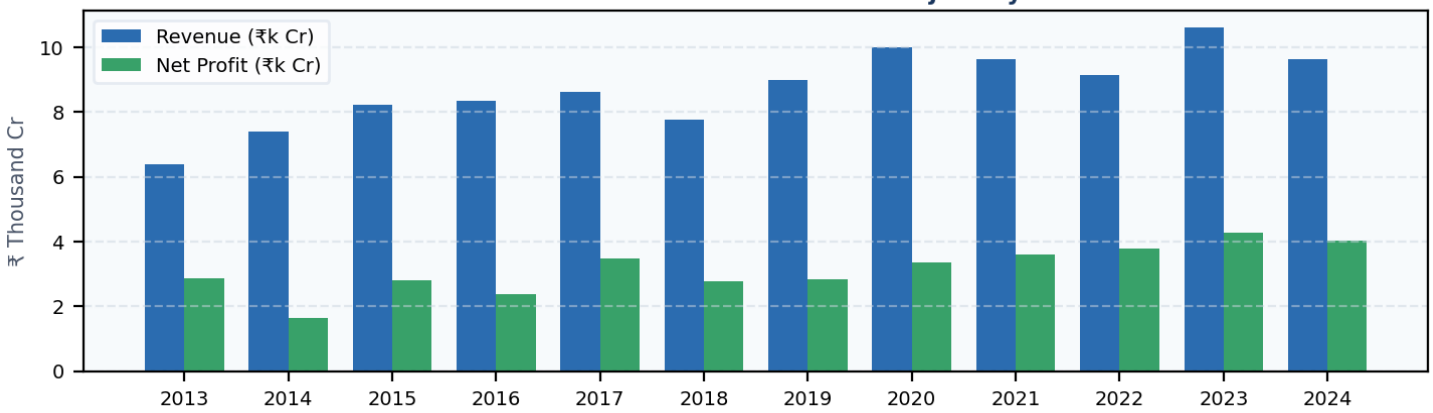
NHPC Ltd (NHPC)

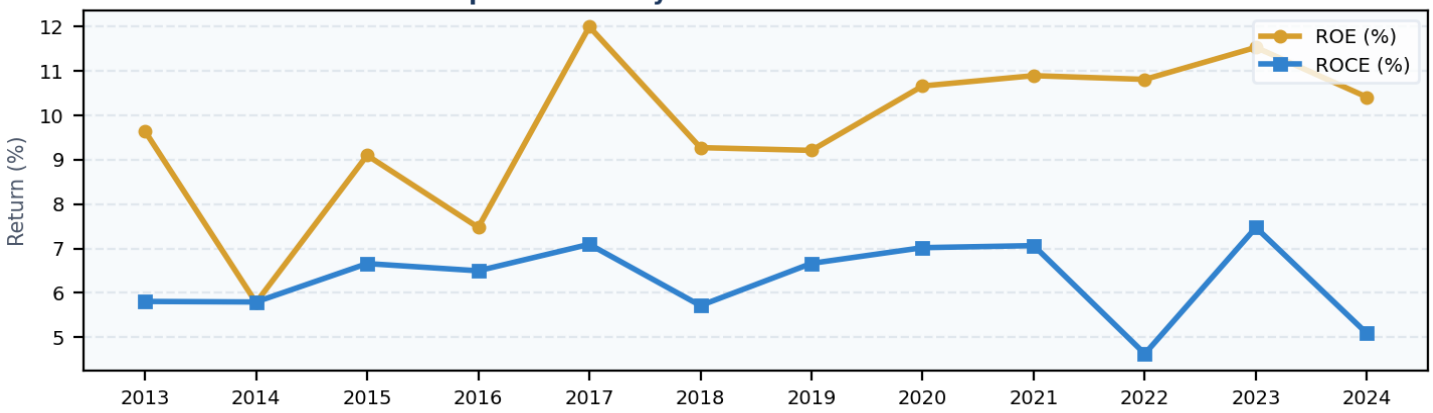
Sector: **Energy** | Sub-Sector: **Power & Utilities** | Nifty 100

MARKET CAP	P/E RATIO	RETURN ON EQUITY
■1,740,404 Cr	71.2x	10.4%
ROCE	**DEBT TO EQUITY**	**5Y REVENUE CAGR**
5.1%	0.84x	1.4%

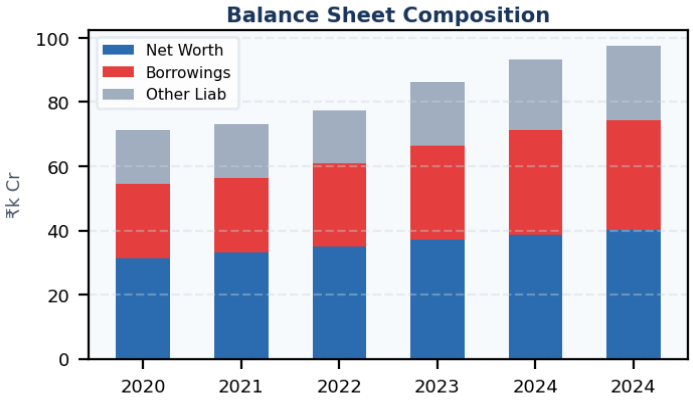
10-Year Revenue & Net Profit Trajectory

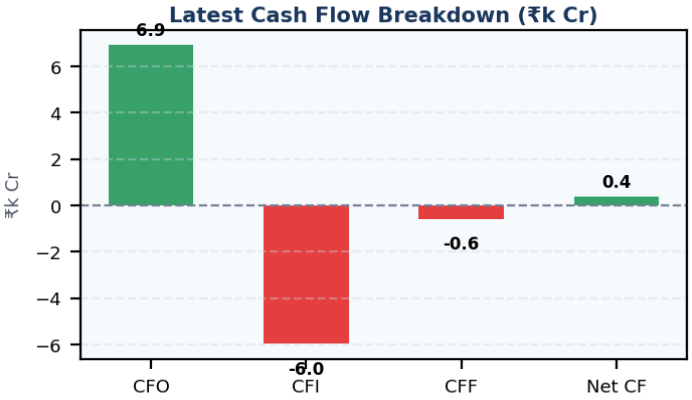


Capital Efficiency: ROE vs ROCE Dual-Axis Trend



Capital Allocation Pattern: Reinvestor / Debt Repayer





Key Strengths & Growth Drivers (Pros)

- **[+]** Strong free cash flow generation over 5 years signals healthy business fundamentals
- **[+]** Operating profit margin above 25% indicates strong pricing power and cost discipline
- **[+]** Very high interest coverage ratio reflects negligible financial stress from debt servicing

Risk Factors & Key Concerns (Cons)

- **[-]** Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- **[-]** Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- **[-]** Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility